

Triangles

Cheat Sheet



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Triangle Patterns

Triangle patterns occur during a range and are mostly continuation patterns.

It's possible to get price targets based on the triangle's height.

We can find several touches on the top and bottom of the edges with no empty spaces.

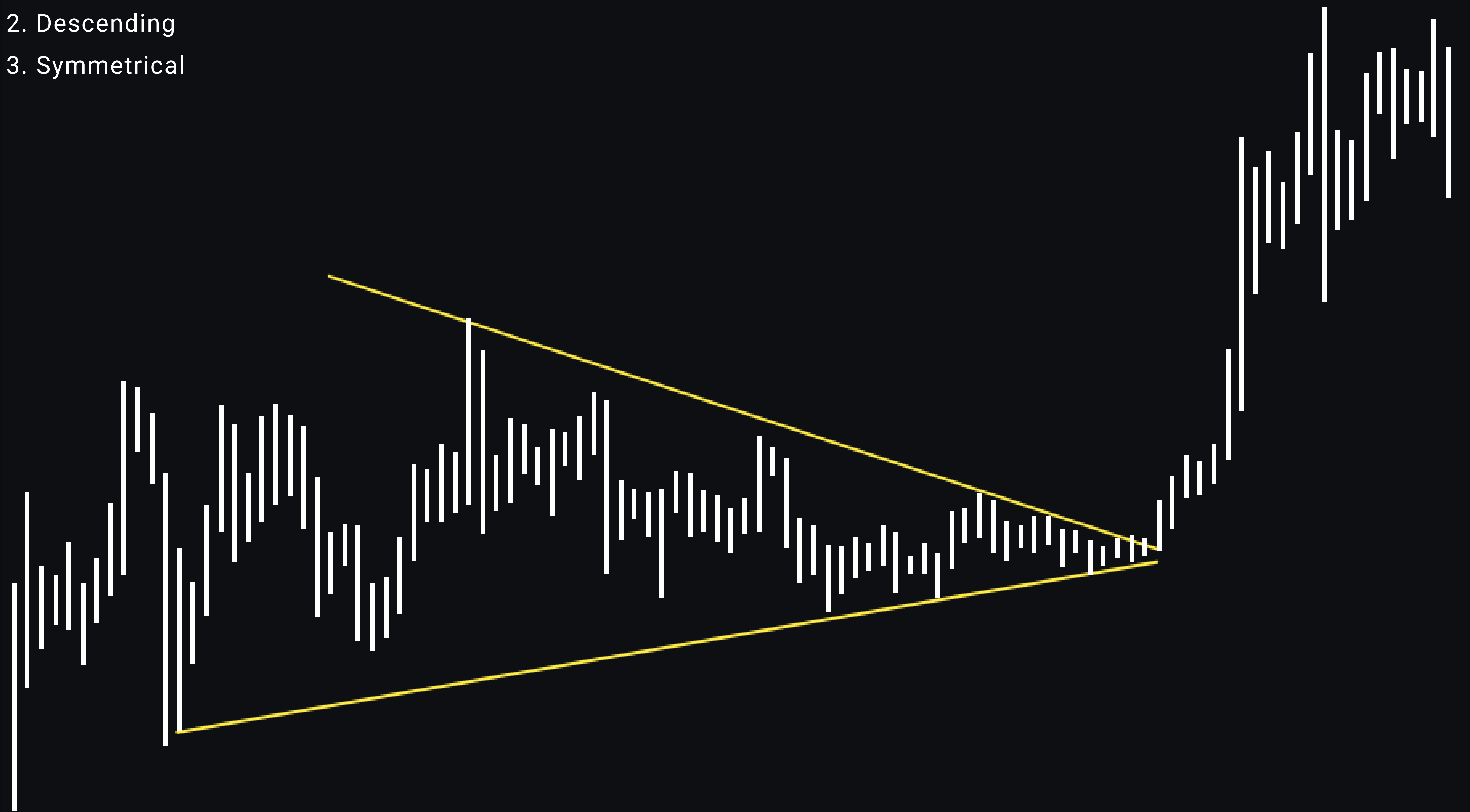


Patterns module: Triangle Patterns (34:30)

Volume should decline up to the apex and increase on a breakout/breakdown. Low volume on a break = Fake out possible.

We can find three types of triangles:

1. Ascending
2. Descending
3. Symmetrical

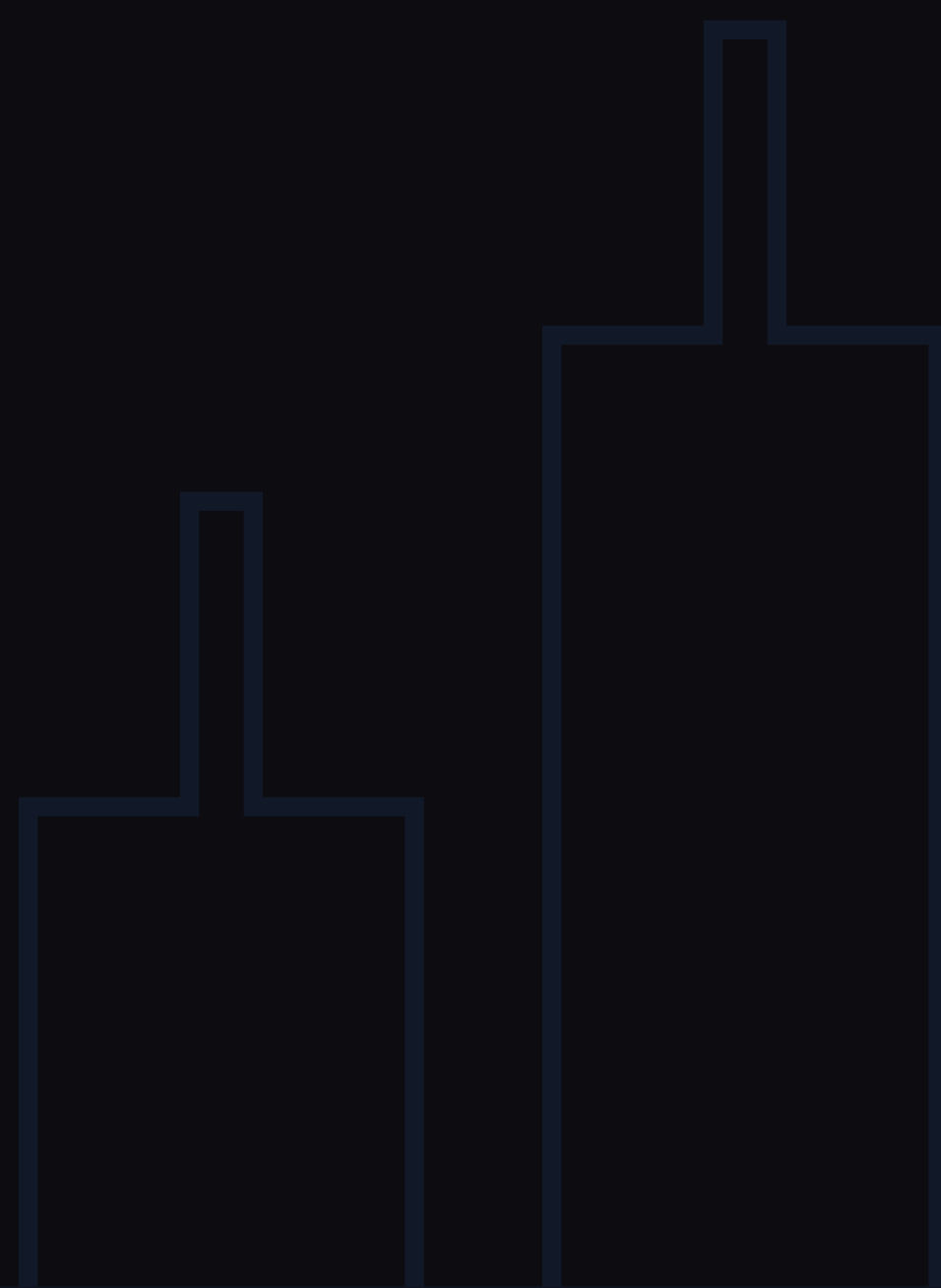




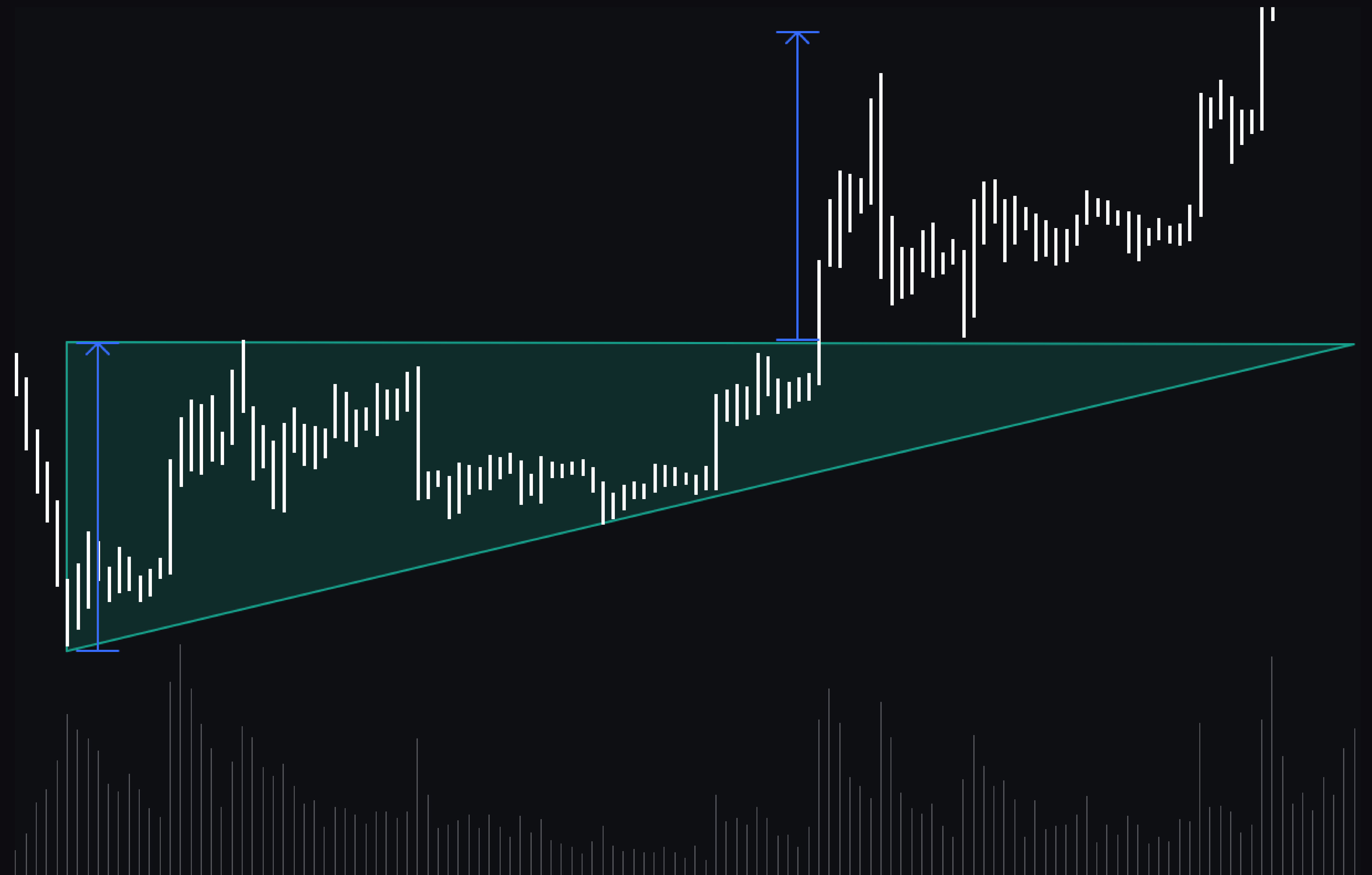
Ascending triangle

The ascending triangle is a continuation pattern. It has a triangle shape with a horizontal top and an up-sloping bottom.

Price targets based on the height of the triangle: we take the price from low to high, and add that to the breakout.



Patterns module: Triangle Patterns (35:36)



The ascending triangle is a continuation. Volume decreases during formation and increases at the breakout. The trade confirmation is a break.



Descending triangle

The descending triangle is a continuation pattern. Has a triangle shape with a horizontal bottom and a down-sloping bottom.

Price targets based on the height of the triangle: we take the price from low to high, and add that to the breakout.



Volume decreases during formation and increases at the breakout.

The trade confirmation is a break.



Patterns module: Triangle Patterns (47:45)



Symmetrical triangle

The symmetrical triangle is a continuation pattern with two converging trendlines that will intersect.

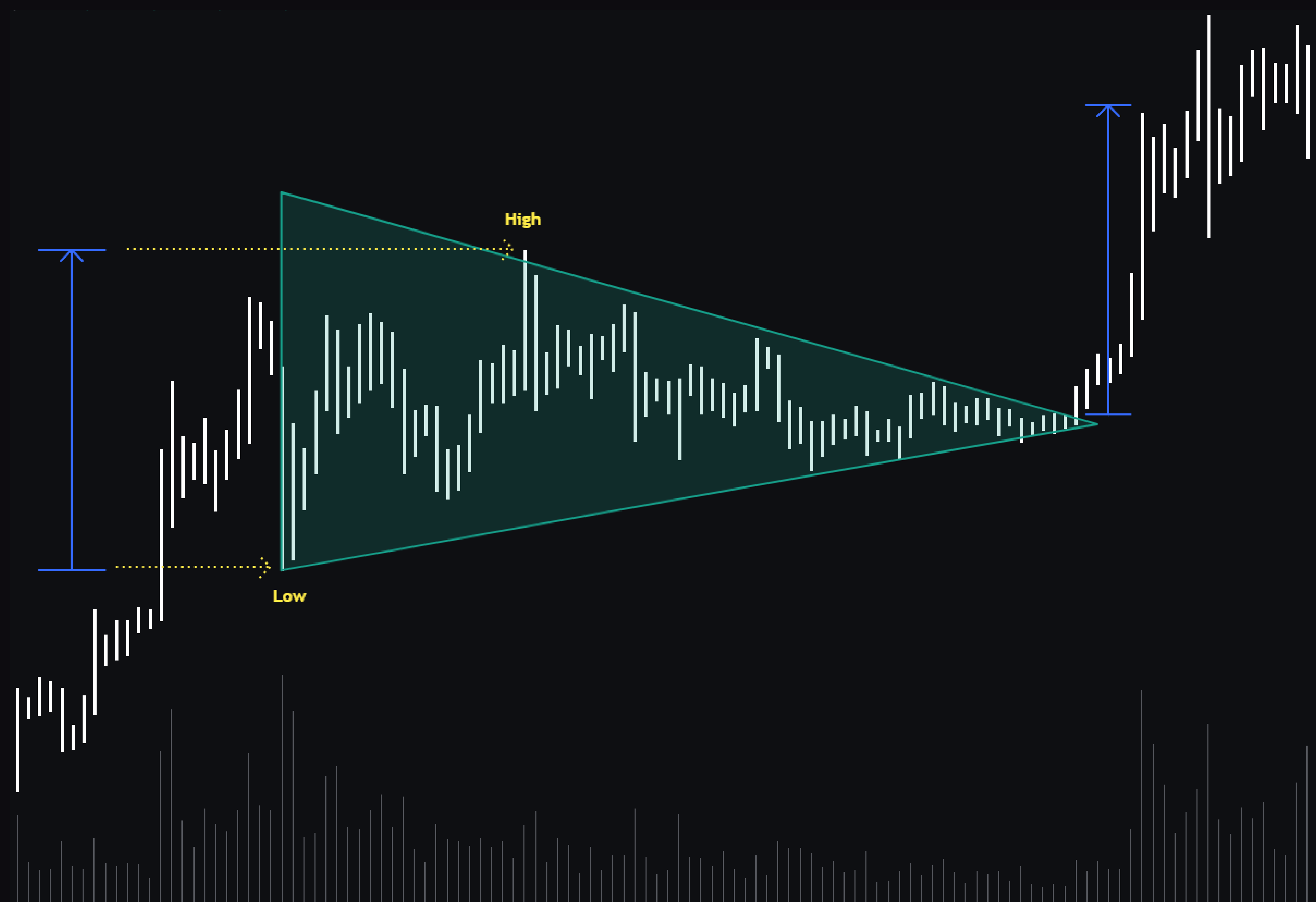
Generally, break to the direction in which the price entered it. In this example, the price entered from low to high and we expect a break to the upside for continuation.



Patterns module: Triangle Patterns (52:28)

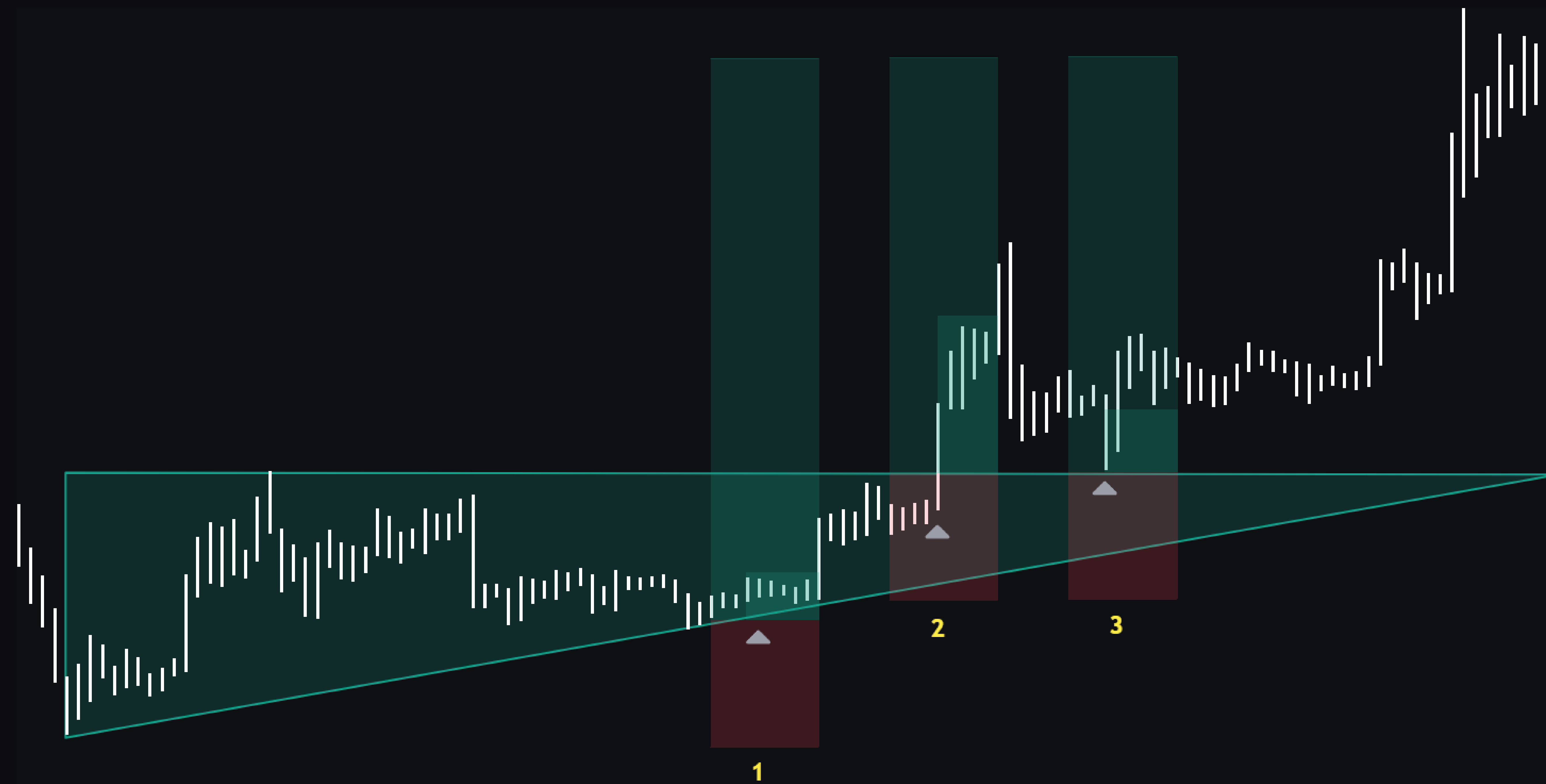
Price targets based on the height of the triangle: we take the price from low to high, and add that to the breakout.

Volume decreases during formation and increases at the breakout.





Triangles: How to trade



1. Entry within the triangle: aggressive entry which provides a higher risk and reward.

2. Wait for a trendline break with increasing volume: we can enter at market.

3. Wait for the break of the triangle and trade the backtest.



Patterns module: Triangle Patterns (52:28)